No prior restatement

Specification	Audit failure	Restatement	Violation
A. Annual panel: separate history			
Current auditor	0.0027	0.0024	0.0026
	(0.0056)	(0.0045)	(0.0044)
Observations	33,842	34,290	33,842
R-squared	0.2484	0.2494	0.2396
Outcome mean	0.0399	0.0248	0.0238
B. Annual panel: joint histories			
Current auditor	0.0003	0.0018	0.0022
	(0.0059)	(0.0047)	(0.0045)
Observations	31,619	32,019	31,619
R-squared	0.2527	0.2514	0.2432
Outcome mean	0.0395	0.0245	0.0234
C. New match: first 1 fiscal year(s)			
Successor auditor	-0.0043	0.0009	-0.0054
	(0.0069)	(0.0058)	(0.0073)
Predecessor auditor	-0.0096	-0.0006	-0.0129*
	(0.0100)	(0.0064)	(0.0075)
Observations	8,189	8,320	8,189
R-squared	0.0335	0.0363	0.0260
Outcome mean	0.0419	0.0303	0.0226
D. New match: first 2 fiscal year(s)			
Successor auditor	-0.0135	-0.0138	-0.0084
	(0.0129)	(0.0099)	(0.0130)
Predecessor auditor	-0.0126	-0.0073	-0.0138*
	(0.0105)	(0.0111)	(0.0077)
Observations	7,389	7,560	7,389
R-squared	0.0421	0.0508	0.0313
Outcome mean	0.0631	0.0455	0.0341
E. New match: first 3 fiscal year(s)			
Successor auditor	-0.0185	-0.0175	-0.0107
	(0.0140)	(0.0125)	(0.0137)
Predecessor auditor	-0.0297***	-0.0167	-0.0225***
	(0.0090)	(0.0120)	(0.0079)
Observations	6,558	6,775	6,558
R-squared	0.0470	0.0564	0.0356
Outcome mean	0.0830	0.0610	0.0468

Notes: Histories exclude the focal client and use disclosures available before January 1 of the observation year. At least three prior reports and two prior years are required; missing history is not coded as clean. Annual models include client, audit firm and year fixed effects; standard errors are clustered by client. New-match models include audit firm and event-year fixed effects; standard errors are clustered by audit firm. All models include client and historical exposure controls; event models also control for predecessor exposure. Event outcomes equal any failure in the complete follow-up window starting in the matching year. Each fiscal year has a three-year disclosure window. Samples can differ across histories and horizons. *** p<0.01, ** p<0.05, * p<0.1.